



Qualification Programme Examination Panelist's Report

Module 2 – Management Accounting (December 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This paper consisted of 20 multiple choice questions. Candidates should have allocated approximately 36 minutes to this section.

The syllabus of this paper relates broadly to the following topics:

- (a) Explain the role and purpose of management accounting;
- (b) Apply cost accounting;
- (c) Apply the principles and techniques for budgeting and forecasting; and
- (d) Analyse information for performance measurement.

Section A questions covered a wide range of topics in the syllabus and the overall performance in this section was good. Nevertheless, some candidates were weak in some areas.

Specific Comments

Candidates performed well with the functions of management, operating budget and financial statement analysis, but were weak in the following topics:

- (a) Strategic management accounting (lean manufacturing);
- (b) Cost behaviour (fixed and variable costs);
- (c) Financial performance measures (return on investment and residual income); and
- (d) Models of performance measurement system (triple bottom line and balanced scorecard).

(II) Section B – Written Questions

General Comments

The questions in this section aimed to test the candidates on their conceptual understanding and the related application to specific situations. In general, candidates performed well in the computational questions and were weak in answering essay-type questions.



A few candidates demonstrated sufficient preparation and the ability to present their answers in response to what was required with calculation steps and/ or explanations. As a result, they obtained good marks.

Most candidates performed well in Question 2. The overall performance in this section was satisfactory.

Specific Comments

Question 1(a) – 12 Marks

This question required candidates to prepare a performance report using the marginal costing format on a flexible budget basis and showing the variances.

The performance was less than satisfactory. Many candidates were unable to prepare a proper flexible budget.

Question 1(b) – 8 Marks

This question required candidates to calculate material price and quantity variances as well as labour rate and efficiency variances.

The performance was less than satisfactory but very few bright candidates scored full or nearly full marks for this part.

Question 1(c) – 10 Marks

This question required candidates to analyse the company's performance on sales as well as the material and labour variances.

The performance was far from satisfactory. As most candidates were unable to answer correctly in parts (a) and (b), they could not analyse the company's performance on sales and the variances.

Question 2(a) – 6 Marks

This question required candidates to prepare a marginal costing statement of profit or loss.

The performance was good. Half of the candidates were able to obtain full marks for this part.

Question 2(b) – 6 Marks

This question required candidates to calculate the contribution margin ("CM") ratio, break-even ("BE") in units, margin of safety ("MOS") in percentage as well as explain and interpret the MOS performance.



The performance was fair. Most candidates were able to calculate correctly most of the required items but only very few candidates explained and interpreted the MOS performance accurately.

Question 2(c) – 12 Marks

This question required candidates to calculate the estimated net profit, CM ratio, BE in units and MOS in percentage of a proposal raised; and analyse whether the proposal should be taken.

The performance was also fair. Most candidates were able to calculate correctly some of the required items. Only very few candidates were able to calculate correctly all of the required items and make the right recommendation to management.

Question 3(a) – 6 Marks

This question required candidates to apportion the common processing costs to two products using different bases.

The performance was fair. Most candidates were unable to calculate the apportioned common processing costs using the net realisable value basis. A few candidates presented their answers in units instead of apportioned costs.

Question 3(b) – 4 Marks

This question required candidates to analyse whether the products should be further processed into enhanced products.

The performance was satisfactory. Half of the candidates were able to analyse and recommend correctly the further processing decisions for the two products.

Question 3(c) – 4 Marks

This question required candidates to analyse whether the products should be further processed into enhanced products when there are losses during further processing.

The performance was unsatisfactory. With the added condition of losses during further processing, most candidates were unable to analyse and recommend appropriate further processing decisions for the two products.

Question 4(a) – 6 Marks

This question required candidates to compute and interpret the economic value added.

The performance was unsatisfactory. Only very few candidates were able to accurately compute and interpret the economic value added.



Question 4(b) – 6 Marks

This question required candidates to explain operational and strategic key performance indicators ("KPIs"), and state the features of a good KPI.

The performance was less than satisfactory. Most candidates failed to differentiate operational KPIs from strategic KPIs. However, many candidates were able to state the features of a good KPI.

(III) Conclusion and Recommendation

Candidates' performance on questions about strategic management accounting and performance measurement was unsatisfactory. Candidates shall pay more attention to these two topics in future examinations because of their increasing importance in the dynamic business environment with great technological advancement.

Candidates are advised to adequately prepare for their examinations as it appears that some candidates skipped the topic on performance measurement while many candidates performed badly on essay-type questions.